THE NATIONAL COMPANY LAW TRIBUNAL
PRINCIPAL BENCH,

AT NEW DELHI

COMPANY PETITION NO. CA (CAA)-125(PB) 2018

Under Section 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

In the matter of

Scheme of Amalgamation

Of

COSMOTEC SYSTEMS PRIVATE LIMITED

.....Applicant Company No.1/ Transferor Company

WITH

POWERTEC SUPPLIES (INDIA) PRIVATE LIMITED

.....Applicant Company No.2 /Transferee Company

Judgment delivered on: 04.02.2019

CORAM:
CHIEF JUSTICE (Rtd.) M.M. KUMAR, Hon'ble President

DR.DEEPTI MUKESH, HON'BLE MEMBER (H)

For Applicants: Ms. Rajni, CS.

ORDER

M.M KUMAR (PRESIDENT)

1. This application has been jointly filed by the Applicant Companies under Sections 230 and 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, duly supported by separate affidavits of the Applicant Companies, for seeking appropriate orders/directions for dispensing with the respective meetings of shareholders, secured creditors and unsecured creditors of the applicant companies, in connection with the proposed Scheme of Amalgamation contemplated between the applicant companies. The said Scheme of Amalgamation (hereinafter referred to as the "Scheme") has been placed on record along with the joint application. The applicants have preferred the instant joint application for the following purpose as is evident from a perusal of the relief clause of the Application, namely:

   a. *Dispensing with requirement for convening the meeting of the Equity Shareholders of the Transferor Company and also dispense with the requirement of issue and publication of notices for the same;*

b. *Dispensing with requirement for convening the meeting of the Secured and Unsecured Creditors and members or any class thereof of the Transferor Company and also to dispense with the requirement of issue and publication of notices for the same;*

c. *Dispensing with requirement for convening the meeting of the Equity Shareholders of the Transferee Company and also to dispense with the requirement of issue and publication of notices for the same;*

d. *Issuing/passing necessary Directions/Order in respect of Transferee Company as it may deem fit for the purpose of convening the meeting of the Secured and Unsecured Creditor and members or any class thereof of the Transferee Company including the requirement of issue and publication of notices for the same;*

e. *Issuing necessary direction for appointment of Chairperson and scrutinizer for the meeting or meetings to be held and terms of appointment and remuneration for the Chairperson;*

f. *Issuing necessary direction fixing a time period within which the chairperson shall report the result of the meeting to this Hon'ble Tribunal;*

g. *Issuing direction for permitting the filling of application, petition, and other documents as may be required, for the purpose of sanctioning the proposed Scheme of Amalgamation between the applicant parties and their respective Shareholders and Creditors.*

h. *Passing such other and further orders as are deemed necessary in the facts and circumstances of the case.*

2. It is represented that the registered offices of both the applicant companies are situated in New Delhi and therefore the subject matter of this joint application falls within the Jurisdiction of this Bench.

3. Cosmotec Systems Private Limited (Transferor Company/ Applicant Company No. 1) was incorporated on 22.07.1990 under the provisions of the Companies Act, 1956. The present Authorized Share Capital of the Transferor Company is Rs. 75, 00,000 divided into 75,000 Equity Shares of Rs. 10/- each. The present Issued, Subscribed and paid-up Share Capital of the Company is Rs. 75,00,000/- divided into 75,0000/- Equity Shares of Rs. 10/- each. The registered office of the Transferor Company LGF-69 Vijay Building 17 Barakhamba Road, New Delhi-110001.

4. It is submitted that the Transferor Company has 8 Equity Shareholders and all the equity shareholders of the company have given their consent

affidavits to the Scheme constituting 100% in value and 100% in number. The consent affidavits of each of the members have been placed on record. It is further represented that the transferor company has no secured and 3 unsecured creditor. In relation to Unsecured Creditor 2 out of 3 unsecured creditor of Transferor Company have given their consent affidavits in favour of the Scheme constituting more than 90 % in value. As the company has no secured creditor, the requirement of convening meetings of secured creditors does not arise. In relation to the shareholders and unsecured creditors, the transferor company seeks dispensation from convening and holding of their respective meetings on the ground that all the shareholders and the Unsecured Creditors having value more than 90% have given consent affidavits in favour of the Scheme. Needless to say that under sub-section 9 of Section 230 of Companies Act, meeting of creditors can be dispensed with if creditors having atleast 90% in value agree by way of affidavit in favour of the Scheme.

5. Powertec Supplies (India) Private Limited (Transferee Company/Applicant Company No. 2) was incorporated on 22.05.1996 as a private limited company. The present Authorized Share Capital of the Resulting Company is Rs. 1,00,00,000/- divided into 10,00,000equity shares of Rs. 10 each. The present Issued, Subscribed and paid-up Share Capital of the Company is Rs.

70,50,000/- divided into 7,05,000/- equity shares of Rs. 10 each. The registered office of the Resulting Company is situated at 902, 9th floor, Vijay Building, Barakhamba Road, New Delhi- 110001, New Delhi-110037.

6. It is submitted that the Transferee Company has 8 Equity Shareholders and 1 Secured Creditor and all the equity shareholders as well as the secured creditor of the company have given their consent affidavits to the Scheme constituting 100% in value and 100% in number. The consent affidavits of each of the members have been placed on record. It is further represented that the transferee company has 62 unsecured creditor. In relation to Unsecured Creditor of Transferee Company the consent affidavit from the unsecured creditor constituting more than 90 % in value having been placed on record. In relation to the shareholders, secured creditors and unsecured creditors, the transferee company seeks dispensation from convening and holding of their respective meetings on the ground that all the shareholders, a secured creditor and the Unsecured Creditors having value more than 90% have given consent affidavits in favour of the Scheme. Needless to say that under sub-section 9 of Section 230 of Companies Act, meeting of creditors can be dispensed with if creditors having atleast 90% in value agree by way of affidavit in favour of the Scheme.

7. We have perused the joint applications and the connected documents / papers filed herewith including the Scheme of by way of contemplated between the Applicant companies.

8. It is seen that the board of directors of both the applicant companies vide separate meetings, held on 25.05.2018 respectively have unanimously approved the proposed Scheme of Amalgamation. Copies of such resolutions passed thereat have been placed on record by the applicant companies.

9. All the applicant companies have filed their respective Memorandum and Articles of Associations. The applicants have also filed their latest audited financial statements for the year ending 31.03.2017 along with provisional financial for the period ended on 31.12.2017 of the transferee company.

10. It is submitted that the proposed merger is sought to be made under the provisions of Section 230 to 232 of the Companies Act, 2013, and the same if sanctioned by this Tribunal the appointed date as provided in the Scheme shall be 31.03.2018.

11. It is submitted in para 10.1 of the Scheme annexed with the petition that "*Upon the Scheme becoming effective, in consideration of the transfer and vesting of the undertakings of the Transferor Company in terms of the Scheme, the transferee Company shall subject to the provisions of the*

Scheme and without any further application or deed issue and allot to the equity shareholders of the Transferor Company, in 3:1 swap ratio i.e. 3 fully paid up equity share of Rs.10/- each of Transferee for every 1 fully paid up equity shares of Rs.100/- each held by such shareholders of Transferor. In accordance with the valuation report dated 18.05.2018".

12. Both the companies have submitted that no investigation proceedings have been instituted or pending under Sections 210-226 of the Companies Act, 2013 or under Sections 235-251 of the Companies Act, 1956 against applicant companies.

13. Further, it has been stated in the application that the Scheme will be beneficial to all the applicant companies and their respective shareholders, employees, creditors and other stake holders.

14. The certificates of statutory auditors of both the applicant companies confirming that the accounting treatment in the scheme is in conformity with Accounting Standard notified by the Central Government under Section 2(2) and Section 133 of the Companies Act, 2013 have been filed.

15. Taking into consideration the application filed jointly by the Applicant Companies the following directions are issued: -

A. **In relation to the Transferor Company: -**

i. *The meeting of Equity Shareholders is dispensed with as there are only Eight equity shareholders in the company and all of their consent affidavits in favour of the Scheme have been placed on record.*

ii. *The meeting of Secured creditors is also dispensed with because there is no Secured creditor in the company and therefore, the requirement of convening meeting of Secured creditors does not arise.*

iii. *The meeting of Unsecured creditors is also dispensed with because the Unsecured Creditors constituting more than 90% in value have given their consent affidavits in favour of the Scheme.*

B. **In relation to the Transferee Company:-**

i. *The meeting of Equity Shareholders is dispensed with as there are only 8 equity shareholders in the company and all of their consent affidavits in favour of the Scheme have been placed on record.*

ii. *The meeting of Secured creditors is also dispensed with because there is only one Secured*

creditor in the company its consent affidavits in favour of the Scheme have been placed on record.

iii. *The meeting of Unsecured creditors is also dispensed with because* the *Unsecured Creditors constituting more than 90% in value have given their consent affidavits in favour of the Scheme.*

16. In view of the above the present joint application stands allowed by dispensing with the meetings of shareholders and creditors of both the applicant companies.

17. The applicants are directed to serve notice of the proposed Scheme on the Regional Director, Ministry of Corporate Affairs, B-2 Wing, 2nd Floor, Paryavaran Bhavan, CGO Complex, New Delhi-110 003, Registrar of Companies at 4th Floor, IFCI Tower, 61, Nehru Place, New Delhi-110 019; the Official Liquidator, Lok -Nayak -Bhavan, 8th Floor, Khan Market, New Delhi -110 001; the office of the Income Tax Department, Income Tax Officer, Ward 7(4), Central Revenue Building, IP Estate, New Delhi-110 002 and Office of the Income Tax Department, Income Tax Officer, Additional Commissioner of Income Tax, Special Range-4, Central Revenue Building, IP Estate, New Delhi-110 002. The notices to Income

Tax authorities shall disclose sufficient details like PAN card numbers, ward numbers and assessing officers so that proper reply may be filed.

Let copy of the order be served to the parties.

(M.M. KUMAR) 04.02.201

PRESIDENT

—Sd—

(DR. DEEPTI MUKESH)

MEMBER (H)

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